

FEDERAL MARITIME COMMISSION

DOCKET NO. 22-25

**B & G FUTURES INC., *REVOCATION OF
OCEAN TRANSPORTATION INTERMEDIARY
LICENSE NO. 026512NF***

**REPLY BRIEF OF THE BUREAU OF ENFORCEMENT,
INVESTIGATIONS, AND COMPLIANCE**

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December 13, 2022

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I. INTRODUCTION

This is a license revocation proceeding where the primary issue is whether an ocean transportation intermediary's (OTI) license should be revoked due to materially false and misleading statements to the Bureau of Certification and Licensing (BCL), a failure to respond to lawful inquiries by BCL, and failures to notify BCL of material changes. Based on the facts presented herein, revocation is clearly warranted by the Shipping Act of 1984 (Shipping Act), Federal Maritime Commission (FMC or Commission) regulations, and established legal precedent.

II. PROCEDURAL HISTORY

On August 24, 2022, BCL issued a Notice of Intent to Revoke the OTI license of B & G Futures, Inc. (B & G or Respondent) on the basis that B & G is no longer qualified to provide intermediary services due to failure to report changes in material fact to the Commission within 30 days, failures to respond to Commission inquiries, and by making a materially false or misleading statement to the Commission. On September 9, 2022, pursuant to the Commission's regulations at 46 C.F.R. §§ 515.17 and 502.702, B & G submitted a request for a hearing with the Office of the Secretary.

On September 16, 2022, the Commission issued a Notice of Hearing Request and

Assignment transmitting the above captioned matter to the Office of Administrative Law Judges. Subsequently, on September 22, 2022, the presiding Administrative Law Judge (ALJ) issued a Notice and Initial Order notifying the Bureau of Enforcement, now known as the Bureau of Enforcement, Investigations, and Compliance (BEIC), of B & G's request for a hearing and BEIC's resulting obligation to submit to the ALJ and B & G a copy of BCL's Notice of Intent to Revoke along with a copy of BCL materials supporting the Notice. BEIC met this requirement pursuant to Rule 702(b), 46 C.F.R. § 702(b), on October 24, 2022 with its Submission of Materials Supporting Revocation along with an Appendix containing Exhibits 1–8 [referenced herein as "BEIC Exhibit #"]. On November 23, 2022, B & G submitted the B & G Futures Inc., Revocation of Ocean Transportation Intermediary License No. 026512NF Resp. (B & G Resp.) in response to BEIC's filings along with an Appendix containing Exhibits A–G [referenced herein as "B & G Exhibit _"]. Per 46 C.F.R. § 502.704, BEIC now replies to the B & G Response.

III. PROPOSED FINDINGS OF FACT

A. Proposed Findings of Fact Supporting Notice of Intent to Revoke

BEIC PFF1. B & G is an Ohio Corporation that does business throughout the United States as

B & G Futures, Inc. BEIC Exhibit 2 at BEIC00006–08; BEIC Exhibit 5 at BEIC000031;

Aline Hull V.S. (Hull V.S.) at ¶ 2; Cindy Hennigan V.S. (Hennigan V.S.) at ¶ 6.

BEIC PFF2. Pursuant to its most recent Form FMC-18, B & G maintains its principal offices at

3700 Columbus Rd NE, Canton, OH 44705. BEIC Exhibit 5 at BEIC000031.

BEIC PFF3. B & G initially applied for an OTI license via its first Form FMC-18 (Initial Form

FMC-18) on July 26, 2017. BEIC Exhibit 2 at BEIC000017.

BEIC PFF4. On its Initial Form FMC-18, B & G maintained its principal offices at 4084

Holiday St NW, Canton, OH 44718. *Id.* at BEIC000006.

BEIC PFF5. B & G has been licensed to operate as an OTI pursuant to FMC license no. 026512 since October 2017. Hull V.S. at ¶ 4.

BEIC PFF6. Steven P. DiPietro (DiPietro) is B & G's 50% part-owner, President, and Treasurer from October 2017 to the present. BEIC Exhibit 2 at BEIC000014; BEIC Exhibit 5 at BEIC000037.

BEIC PFF7. Ami Vyas is B & G's 50% part-owner and Vice-President from October 2017 to the present. BEIC Exhibit 2 at BEIC000014; BEIC Exhibit 5 at BEIC000037.

BEIC PFF8. Robert Waalkes (Waalkes) was listed as B & G's Secretary and Qualifying Individual (QI) on the Initial Form FMC-18. BEIC Exhibit 2 at BEIC000014.

BEIC PFF9. On or about January 2, 2020 B & G renewed their information for their OTI license. BEIC Exhibit 3 at BEIC000020–22; Hull V.S. ¶ 5–6.

BEIC PFF10. In their renewal B & G attested to the accuracy of its:

company name, trade names if any, principal place of business address, telephone, fax, contact name, contact email, name of Qualifying Individual, tax identification number, business entity type, date of incorporation, State of incorporation, all officer names and titles, all owners and ownership percentages, any affiliated business entities, any branch office addresses.

Hull V.S. at ¶ 5.

BEIC PFF11. Upon submitting B & G's license renewal, Steve DiPietro accepted the following:

By electronically submitting this Form-18 OTI License Renewal, under penalties of perjury, I declare I am authorized to submit this OTI license renewal on behalf of the Ocean Transportation Intermediary identified on this Form and that I have examined the information and to the best of my knowledge and believe, it is true, correct and complete.

BEIC Exhibit 3 at BEIC000019–22.

BEIC PFF12. On September 9, 2021 BCL was asked to process a bond cancellation for B & G. BEIC Exhibit 4 at BEIC000028.

BEIC PFF13. On October 4, 2021, BCL alerted B & G that their bond cancellation was to be effective on October 9, 2021. *Id.*

BEIC PFF14. On the same day, B & G replied that their bond was not to be cancelled. *Id.* at BEIC000027.

BEIC PFF15. October 5, 2021, BCL acknowledged receipt of B & G's response. *Id.*

BEIC PFF16. On October 8, 2021, BCL asked B & G to confirm that Waalkes was still a full-time employee and officer of B & G. *Id.*

BEIC PFF17. On October 12, 2021, B & G, through DiPietro, replied but did not confirm whether Waalkes was still a full-time employee and officer of B & G and instead stated that "[they] were under the assumption [Distribution Publications, Inc.] updated [their] QI." *Id.* at BEIC000026.

BEIC PFF18. On the same day, BCL asked a clarifying question about the start and end dates of Waalkes employment with B & G and directed B & G to have "DPI submit an application proposing a replacement QI as soon as possible, and in no case later than 30 days from the date of this message." *Id.*

BEIC PFF19. B & G did not reply to confirm receipt, nor did B & G submit a Form FMC-18 application to replace the QI. *Id.*

BEIC PFF20. On November 15, 2021, BCL wrote to B & G that:

On October 12 the Federal Maritime Commission (FMC or Commission) requested that you provide the start and end dates of Mr. Waalkes employment with B & G Futures. To date you have not responded. Additionally, you indicated your tariff publisher, Distribution-Publications Inc. (DPI), would submit an application proposing a replacement Qualifying Individual (QI) – however this has not occurred. B & G is currently out-of-compliance with Commission regulations . . . If the application proposing the replacement QI and the dates of Mr. Waalkes employment are not received by Thursday, November 18, 2021 the Bureau of Certification and Licensing will formally notify you of our intent to revoke the license

Id. at BEIC000024–25.

BEIC PFF21. On the same day BCL internally conferred via email that they believed Waalkes had “actually never worked for the company” and instead “work[ed] for Rayarmor Automotive in July 2017.” *Id.* at BEIC000024.

BEIC PFF22. BCL conjectured that Waalkes either “did not stay with B & G or perhaps was never employed by B & G,” noting that the Initial Form FMC-18 application which approved Waalkes as QI was submitted on July 26, 2017 and “locked on [August 22, 2017].” *Id.*

BEIC PFF23. On November 16, 2021, B & G submitted a Form FMC-18 (Replacement QI Form FMC-18) to replace Robert Waalkes as QI with Lorie Obrzut, B & G’s secretary. BEIC Exhibit 5 at BEIC000033.

BEIC PFF24. On November 17, 2021, BCL spoke to Waalkes and Waalkes responded that “[He has] not been employed by, nor [is] familiar with B & G Futures.” BEIC Exhibit 6 at BEIC000050; *see also* BEIC Exhibit 4 at BEIC000024.

BEIC PFF25. On the same day, BCL staff conferred via email that they had confirmed the identity of Waalkes by acquiring his contact information through “Accurint” and confirming that email address used in the Initial Form FMC-18 application was his. BEIC Exhibit 7 at BEIC000053.

BEIC PFF26. On December 8, 2022, BCL finished analyzing B & G’s Replacement QI Form FMC-18 but delayed finalizing it due to an investigation into B & G’s suspected missing QI. BEIC Exhibit 8 at BEIC000064.

BEIC PFF27. On December 27, 2022, BCL was directed to wait for the conclusion of the investigation before finalizing the application. *Id.* at BEIC 000063.

BEIC PFF28. On March 9, 2022, BCL was informed that the investigation had concluded with findings that “B&G operated without a QI from June 2017 – November 2021 in violation of 46 CFR § 515.20(c), and that B&G’s President and 50% Owner, Mr. Steven DiPietro, made a materially false statement with respect to our prior inquiry regarding the employment status of its sole QI, Mr. Waalkes.” *Id.* at BEIC000061.

BEIC PFF29. On March 10, 2022, BCL staff communicated with each other via email that this behavior was a “huge character issue and violation of [the Commission’s] regulation,” with the direction to “proceed with a denied replace QI application and license revoked actions.” *Id.* at BEIC000060; Hennigan V.S. at ¶ 6.

BEIC PFF30. On August 24, 2022, BCL sent a Notice of Intent to Revoke to B & G, citing: 1) failure to report changes in material fact, 2) failing to respond to a lawful inquiry, and 3) making a materially false or misleading statement to the Commission. BEIC Exhibit 1 at BEIC000003–04.

B. Additional Proposed Findings of Fact

BEIC PFF31. On August 26, 2022, Waalkes stated in writing to BCL regarding the Notice of Intent to Revoke B & G Futures’ license as follows:

[He] was contacted in November of 2021 and asked if [he] had any recollection of working with B&G Futures. At the time I stated that I did not. I sincerely apologize for the confusion, but I did indeed execute an agreement in 2017 with B & G Futures as a consultant . . . I was introduced to B&G Futures by a close friend and business associate []. At the time I was CEO of US Pack, Inc or [sic] Leominster, MA and our organization was primarily in the chemical manufacturing and export business. It was believed that my export experience would be a benefit to his new venture. However, I did not do any work with B&G after this agreement was executed and I ended up moving into another industry.

Hull V.S. at ¶ 15; *see also* Attach. 1 at BEIC000067–68.

BEIC PFF32. On November 29, 2022, BCL was made aware that B & G was involved in three separate legal proceedings that were not previously disclosed to BCL. Hull V.S. at ¶ 16–

18; *see also* Attach. 2–4.

BEIC PFF33. These three legal proceedings involved one Oklahoma State proceeding, one similarly related U.S. District Court for the Northern District of Oklahoma proceeding, and one U.S. Bankruptcy Court of the Northern District of Ohio proceeding. Attach. 2–4.

BEIC PFF34. The Oklahoma State proceeding was brought against B & G, DiPietro, and Chirag Vyas on August 13, 2018. Attach. 2 at BEIC000071.

BEIC PFF35. The U.S. District Court for the Northern District of Oklahoma proceeding was brought against B & G and DiPietro on April 10, 2020. Attach. 3 at BEIC000089.

BEIC PFF36. The U.S. Bankruptcy Court of the Northern District of Ohio proceeding was a Chapter 7 Involuntary Petition Against a Non-Individual brought against B & G on January 20, 2021. Attach. 4 at BEIC000094.

IV. LEGAL ARGUMENT

A. Legal Standards

Section 19(a) of the Shipping Act, 46 U.S.C. § 40901, governs the licensing of OTIs.

Section 19(c), 46 U.S.C. § 40903(a), provides in relevant part that the Commission:

. . . after notice and opportunity for hearing, shall suspend or revoke an ocean transportation intermediary’s license if the Commission finds that the ocean transportation intermediary – (1) is not qualified to provide intermediary services; or (2) willfully failed to comply with a provision of this part or with an order or regulation of the Commission.

46 U.S.C. § 40903(a).

The Commission’s implementing regulations provide in relevant part that a license may be revoked for:

- (1) Violation of any provision of the Act, or any other statute or Commission order or regulation related to carrying on the business of an ocean transportation intermediary;
- (2) Failure to respond to any lawful order or inquiry by the Commission;
- (3) Making a materially false or misleading statement to the Commission in connection with an application for a license or an amendment to an existing license;

- (4) A Commission determination that the licensee is not qualified to render intermediary services; or
- (5) Failure to honor the licensee's financial obligations to the Commission.

46 C.F.R. § 515.16(a).

A party alleging a violation of the Shipping Act has the burden of proof to establish the violation. *See* 5 U.S.C. § 556(d); 46 C.F.R. § 502.155 (establishing that a proponent of a rule or order has the burden of proof.). BEIC, as the proponent of an order revoking the license of B & G, has the burden of proof or persuasion. *See Director, Office of Workers' Compensation Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). Thus, BEIC must prove its case by a preponderance of the evidence. *Portman Square Ltd. – Possible Violations*, 28 S.R.R. 80, 84 (ALJ 1998). A preponderance of the evidence means that the evidence makes the existence of a fact more probable than not. *William R. Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 15 (ALJ 1991). It is also appropriate to draw inferences from certain facts when direct evidence is not available and circumstantial evidence may be sufficient. *Commonwealth*, 29 S.R.R. at 1412 (citing *Waterman Steamship Corps. v. General Foundries, Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993)).

BEIC submits that the evidence of record in this proceeding establishes clearly that the license of B & G should be revoked in accordance with the provisions of the Shipping Act, Commission regulations, and settled precedent.

B. Revocation of B & G's License Should be Upheld

1. B & G and Steve DiPietro Made Materially False and Misleading Statements to BCL

A license may be revoked for “[m]aking a materially false or misleading statement to the Commission in connection with an application for a license or an amendment to an existing license.” 46 C.F.R. § 515.16(a)(3). Upon renewal of its license, B & G stated that Waalkes was still employed with B & G as its Secretary and QI by attesting to the accuracy of its QI and

certifying that its submitted material was “true, correct and complete.” BEIC PFF 10–11. But Waalkes was not employed by B & G at the time. BEIC PFF 24. So, upon renewal of its license, B & G was obligated to amend its existing license to reflect Waalkes’ employment. Failing to do so resulted in making a materially false and misleading statement to BCL resulting in a 46 C.F.R. § 515.16(a)(3) violation.

B & G argues that Waalkes was employed “on a commission basis,” and that because he had not “generate[d] any business” for B & G he did not “receive monetary compensation.” B & G Resp. at ¶2. B & G does not specifically refute that it made a materially false or misleading statement to the Commission when it failed to amend its license correctly upon renewal, and instead points to Exhibits C–F to support its contention that Waalkes was gainfully employed by B & G. But B & G neither demonstrates that Waalkes was employed by B & G at the time of B & G’s renewal nor does it provide any information for when Waalkes began his affiliation with B & G and when that affiliation terminated.

B & G is incorrect in its assertion that Waalkes was employed by B & G. Having a commission-based payment structure can establish an independent contractor relationship but does not establish employment. *See Lancaster Symphony Orchestra v. NLRB*, 822 F.3d 563, 568 (D.C. Cir. 2016) (“Independent contractor status is more likely ‘if payment is to be made by the job and not by the hour.’”). An employer-employee relationship is established through several factors which the D.C. Circuit Court of Appeals recently recited as follows:

- (1) “the extent of control” the employer has over the work;
- (2) whether the worker “is engaged in a distinct occupation or business”;
- (3) whether the “kind of occupation” is “usually done under the direction of the employer or by a specialist without supervision”;
- (4) the “skill required in the particular occupation”;
- (5) whether the employer or worker “supplies the instrumentalities, tools, and the place of work for the person doing the work”;
- (6) the “length of time for which the person is employed”;

- (7) whether the employer pays “by the time or by the job”;
- (8) whether the worker's “work is a part of the regular business of the employer”;
- (9) whether the employer and worker “believe they are creating” an employer-employee relationship; and
- (10) whether the employer “is or is not in business.”

Lancaster Symphony Orchestra v. NLRB, 822 F.3d at 565–566.

The exhibits introduced by B & G do not demonstrate that Waalkes was employed by B & G at the time of its Initial Form FMC-18 let alone its renewal in 2020. They do not refute BCL’s belief in revoking B & G’s license that B & G made a materially false and misleading statement when it failed to amend its renewal.

Exhibit C of Respondent’s submission is a “Waiver of Notice of Special Meeting of the Board of Directors of B & G Futures Inc.” and includes a signature above the line “Robert Waalkes – Secretary” dated on December 1, 2016. B & G Resp., Exhibit C. The document does not speak to the above factors regarding Waalkes employment with B & G, nor does it establish that Waalkes was employed on January 6, 2020—the date of its renewal.

Exhibit D of Respondent’s submission is a screenshot of a text exchange. Neither party’s identities are known, but through context it is likely supposed to represent an exchange between Waalkes—Gray— and a party from B & G—Blue. The text messages read:

Gray: I truly apologize for the confusion! I received the email and will contact them immediately and hope that this can be resolved quickly. I will give you an update after I contact them. Please keep me in mind as the biodiesel project progresses. I think that’s very interesting. All the best!

Blue: No worries thank you very much. Yes absolutely. You [sic] background in exports will be of huge help and it will allow you to stay where you are.

Gray: I sent an email to Aline to clarify and let them know I can be contact at any time to clarify.¹

B & G Resp., Exhibit D.

¹ The referenced email was unable to be produced by B & G, *see* Exhibit E, but BCL has reason to believe that this email is the same as Attach. 1—where Waalkes writes to Aline Hull of BCL on August 26, 2022 at 11:41 AM.

The text exchange does not speak to the above factors regarding Waalkes employment with B & G, nor does it establish that Waalkes was employed on the date of B & G's renewal. Exhibit E is an email exchange between Waalkes and a B & G employee regarding the email referenced in Exhibit D. It was introduced as an explanation for why B & G does not have the above referenced email, B & G Resp. at ¶ 3, and does not speak to the above factors regarding Waalkes employment with B & G, nor does it establish that Waalkes was employed on the date of B & G's renewal.

Exhibit F of Respondent's submission is an Affidavit of Robert Waalkes (Waalkes Aff.). Waalkes Aff. is regulated by 46 C.F.R. § 502.6(c) as an affidavit and is in contravention of the regulation by not including any clause with the like force and effect that the affidavit is true under penalty of perjury. Therefore, the ALJ should disregard Waalkes Aff.

But for the sake of argument, Exhibit F purports to establish that Waalkes served as Secretary of B & G from December 1, 2016 to October 25, 2020. Although this document implies that Waalkes served as Secretary of B & G during B & G's January 6, 2020 renewal, it does not elaborate as to the nature of Waalkes' actual employment. Waalkes Aff. also only acknowledges that he was a QI for a "portion" of the above period, meaning that there was a period of time before October 25, 2020 that B & G did not have a QI. Furthermore, Waalkes Aff. acknowledges Waalkes' representation to BCL that "[he] had never heard of B & G." B & G Resp., Exhibit F. at ¶ 3. To explain this contradictory statement, Waalkes Aff. asserts that Waalkes has a medical condition which "impairs [his] ability to recall past events accurately." *Id.* at ¶ 4. Waalkes does not elaborate on what medical condition would cause him to confirm on two separate occasions that he had not worked for B & G before and then sign an affidavit saying

that he had. And Waalkes never explains the nature of his employer-employee relationship with B & G.

If the ALJ were to consider Waalkes Aff., it does not speak to the above factors regarding Waalkes employment with B & G, nor does it establish that Waalkes was employed on the date of B & G's renewal. Although it tries to establish that Waalkes was the Secretary of B & G at the time of renewal, it does not specify the duties or labor involved with that "position." Additionally, it reveals and confirms that there was a period within December 1, 2016 and October 25, 2020 that Waalkes was not the QI for B & G—in contravention of 46 C.F.R § 515.20(a)(5). Waalkes Aff. does not establish that Waalkes was employed with B & G on January 6, 2020 and casts more doubt as to Waalkes' veracity as he had previously confirmed with BCL that he did not know of B & G, BEIC PFF 24–25, and then later recanted that statement to say that he had not worked with B & G after signing an agreement with B & G, BEIC PFF 31.

In contrast, BCL had sufficient reason to believe that Waalkes was not employed by B & G at the time of B & G's renewal and that B & G had made materially false and misleading statements to BCL. BCL confirmed the identity of Waalkes on November 17, 2021 via the email address on the Initial Form FMC-18 and an independent background check database, Accurant. BEIC PFF 24, 25. Waalkes represented to BCL that he had "not been employed by, nor [was] familiar with B & G Futures." BEIC PFF 24. Waalkes later confirmed this email by writing to BCL on August 26, 2022 that he "executed an agreement in 2017 with B & G Futures as a consultant . . ." and that "[he] did not do any work with B & G after this agreement was executed." BEIC PFF31. BCL had further reason to believe that Waalkes did not work for B & G at the time of renewal when on March 9, 2022 BCL confirmed via investigation that B & G

had operated without a QI from June 2017 – November 2021. BEIC PFF28. It is upon Waalkes’ own representations to BCL that gave BCL reason to believe that Waalkes was not employed or QI of B & G at the time of renewal. The evidence proffered by B & G is either irrelevant to BCL’s belief that Waalkes was not employed at the time of renewal or supports BCL’s belief. It is more likely than not that Waalkes was not gainfully employed with B & G at the time of its renewal and that B & G made a false and misleading statement to BCL by not amending its information. This is a violation of 46 C.F.R. § 515.16(a)(3). This violation constitutes sufficient and just grounds to revoke B & G’s license per 46 C.F.R. § 515.16(a)(3).

2. B & G Failed to Respond to BCL’s Lawful Inquiries

A license may be revoked for “[f]ailure to respond to any lawful order or inquiry by the Commission.” 46 C.F.R. § 515.16(a)(2). B & G failed to respond to BCL’s lawful inquiry regarding Waalkes’ start and end dates on October 12, 2022 after BCL had inquired about the matter on October 8, 2022. BEIC PFF 16–19. BCL then issued a written reminder to B & G of its duty to respond to the FMC and its outstanding deadline to submit a Form FMC-18 to replace its missing QI. BEIC PFF 20. Only after this stark reminder did B & G submit its Replacement QI Form FMC-18. BEIC PFF23.

B & G argues that it did not know it needed to respond to the Commission’s inquiry. B & G cites its belief that “‘ALL’ matters related to the Federal Maritime Commission” were monitored and addressed by a third-party and introduces Exhibit G to support this assertion. B & G Resp. at ¶ 4. This is not a defense. B & G freely responded to a BCL inquiry on October 4, 2021 and October 12, 2021. BEIC PFF 13–17. B & G cannot claim ignorance when it purposefully ignored BCL’s lawful inquiry regarding Waalkes’ employment after having responded to BCL days prior. Moreover, B & G’s Exhibit G is undemonstrative of B & G’s attempts to respond to BCL’s lawful inquiry and only illustrates B & G’s purposeful inaction.

Exhibit G of Respondent’s submission contains two email threads. The first is between B & G and its third-party filing agent. The second, contained in the last four pages of Exhibit G, is part of an email thread between B & G and BCL—the entirety of the thread is included in BEIC Exhibit 4, BEIC000026–29 and discussed in BEIC PFF12–17. The first email thread begins on “Page 25 of 24,” located on the bottom right-hand corner of the page. It is a notification from B & G’s third party filing agent that B & G’s “application to amend/update [B & G’s] FMC-OTI license was submitted electronically to the FMC License Office today.” B & G Resp., Exhibit G, Page 25 of 24. The email was sent on November 16, 2021 at 2:47PM. *Id.* B & G and the third-party filing agent exchanged emails clarifying the application process until December 9, 2021. *Id.* at Page 21 of 24–26 of 24. Following those exchanges, the bulk of the email thread contains updates from the third-filing agent to B & G. *Id.* at Beginning of Exhibit G–26 of 24.

None of the above emails illustrate B & G’s attempts to respond to BCL’s inquiry, nor of B & G’s understanding that its third-party filing agent was responsible for responding to BCL. The emails do not speak to B & G’s silence from October 12, 2021 to BCL’s follow up email on November 15, 2021. *See* BEIC PFF 18–20. The emails only confirm that B & G submitted its Replacement QI Form FMC-18 after BCL followed up with B & G on November 15, 2021. BEIC PFF 20, 23. B & G cannot defend its failure to respond to BCL’s lawful inquiries. B & G was responsive with BCL until it was asked for answers it was not willing to provide.

Thus, B & G failed to respond to BCL regarding Waalkes’ employment and this violation constitutes just and sufficient grounds to revoke B & G’s license per 46 C.F.R. § 515.16(a)(2).

3. B & G and its Fifty Percent Owner, Steve DiPietro Failed to Notify the Commission of Changes in Material Fact

A license may be revoked for “[v]iolation of any provision of . . . any Commission order or regulation related to carrying on the business of an ocean transportation intermediary.” 46

C.F.R. § 515.16(a)(1). The Commission’s regulations require licensees to notify the Commission of any changes in material fact “within thirty (30) days of such changes, in writing by mail or email (*bcl@fmc.gov*) to the Director, Bureau of Certification and Licensing, Federal Maritime Commission, Washington, DC 20573.” 46 C.F.R. § 515.20(e). Such material changes include:

Changes in business address; any criminal indictment or conviction of a licensee, QI, or officer; any voluntary or involuntary bankruptcy filed by or naming a licensee, QI, or officer; changes of five (5) percent or more of the common equity ownership or voting securities of the OTI; or, the addition or reduction of one or more partners of a licensed partnership, one or more members or managers of a Limited Liability Company, or one or more branch offices.

Id.

In addition, changes in the “identity or status of the designated QI” require prior approval of the Commission. *Id.* § 515.20(a)(3).

B & G failed to inform BCL of its changes in QI—a material fact—and violated 46 C.F.R. § 515.20(a)(3) and (e). B & G does not address its failure to notify the Commission of changes in material fact in its response. And BCL had reason to believe, through a preponderance of the evidence, that Waalkes was not employed by B & G from June 2017 until the time that BCL first contacted B & G about the issue in November of 2021. BEIC PFF 28. First, BCL tried to confirm the dates of Waalkes employment with B & G, but never received a direct response about his start or end dates. BEIC PFF 19. Next, BCL confirmed Waalkes’ identity and then conferred with Waalkes to find that Waalkes “[had] not been employed by, nor [was he] familiar with B & G Futures.” BEIF PFF24, 25. Finally, it was reported through independent investigation to BCL that Waalkes had not worked for B & G. BEIC PFF28. And the proffered exhibits do not contradict BCL’s beliefs nor do they establish employer-employee

relationship between the two or even a timeline for employment.² B & G Exhibit A–G.

Additionally, through this litigation, it was found that B & G failed to notify BCL of three legal proceedings including one bankruptcy proceeding, an enumerated occurrence in 46 C.F.R. § 515.20(e). BEIC PFF32–36. B & G’s failure to inform BCL of these material changes in fact are all violations of the Commission’s regulations. While it is only the change in QI that BCL considered when issuing its Intent to Revoke, all four failures to notify BCL form sufficient grounds to revoke B & G’s license per 46 C.F.R. § 515.16(a)(1).

V. CONCLUSION

For the reasons set forth above, BEIC urges the presiding ALJ to uphold the August 24, 2022 determination of BCL, pursuant to 46 C.F.R. § 515.16, to revoke Respondent’s OTI license. BEIC further requests that Respondent be directed to cease and desist all OTI activities.

Respectfully submitted,

Serena Lei-
Peng Tang

Digitally signed by Serena
Lei-Peng Tang
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10:35:04 -05'00'

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² BEIC acknowledges that Exhibit F, Waalkes Aff. claims that Waalkes served as Secretary from December 1, 2016 to October 25, 2020 while revealing that Waalkes only served a “portion of that period” as the QI of B & G. BEIC urges the ALJ to disregard this exhibit as it does not comply with 45 C.F.R. § 502.6, but if the ALJ were to consider this evidence—the timeline above and the revealed “portion,” acknowledge a gap of service from at least October 25, 2020 to November 2021. This gap still triggered B & G’s responsibility to notify BCL of changes in material fact per 46 C.F.R. § 515.20(e).

CERTIFICATE OF SERVICE

I hereby certify that a copy of the foregoing document was served upon Respondent via email transmission this 13th day of December 2022.

**Serena Lei-
Peng Tang**

Digitally signed by Serena
Lei-Peng Tang
Date: 2022.12.13
10:35:19 -05'00'

Serena L. Tang